

to be laid out on a purchase of land to be annexed to a settled estate, and part of the settled estate was the advowson of a rectory of which the parsonage house was so dilapidated as to require rebuilding, which the testator had contemplated, V. C. Malins held that the proposed expenditure was within the spirit of the trust, and that the trustee would be justified in applying a competent part of the trust fund for the purpose (*d*). And monies liable to be laid out on a purchase of lands to be settled to certain uses may be laid out in the erection of *new buildings*, though not in the *repair of old buildings* on the lands settled to those uses (*e*), [or in draining the lands in settlement (*f*).

[*505] *21. Now, by the Settled Land Act, 1882, sect. 33, money in the hands of trustees, and liable to be laid out in the purchase of land to be made subject to the settlement, may, at the option of the tenant for life, be invested or applied as capital money arising under the Act, and under this it may be made applicable for the improvements authorised by the Act (*a*).]

22. **Estates in possession.** — When the trust is to purchase an estate "*in possession*," it would not be competent to trustees to buy an *estate in reversion*; but, as already observed, under a power to purchase "*hereditaments in fee simple in possession*," trustees may buy ground-rents reserved upon building leases for ninety-nine years (*b*). But where the leases are of short duration, and the ground-rents are low as compared with the rental of the property when

Claypole, 16 L. R. Eq. 574; [*Re Speer's Trust*, 3 Ch. D. 262;] and see *Re Leigh's Estate*, 6 L. R. Ch. App. 887; *Re Newman's Settled Estates*, 9 L. R. Ch. App. 681; *Drake v. Trefusis*, 10 L. R. Ch. App. 306; *Re Hurle's Settled Estates*, 2 H. & M. 196. [But see *Re Venour's Settled Estates*, 2 Ch. D. 522, 526.]

(*d*) *Re Lord Hotham's Trusts*, 12 L. R. Eq. 76; *Re Curzon's Trust*, V. C. Malins, 8 May, 1874. But see *Brunskill v. Caird*, 16 L. R. Eq. 495, and *Re Nether Stowey Vicarage*, 17 L. R. Eq. 156.

(*e*) *Drake v. Trefusis*, 10 L. R. Ch. App. 364; [*Re Leslie's Settlement Trusts*, 2 Ch. D. 185; *Re Lytton's Settled Estates*, W. N. 1884, p. 193; *Re Stock's Devised Estates*, 42 L. T. N. S. 46; and see *Donaldson v. Donaldson*, 3 Ch. D. 743.]

(*f*) *Re Leslie's Settlement Trusts*, *ubi sup.* [As to improvements under the Settled Land Act, see *post*, Chap. xxii.]

[(*a*) See *post*, Chap. xxii.]

(*b*) *Re Peyton's Settlement*, 7 L. R. Eq. 463.